Medicaid Words in Plain English

The terms you'll hear while Mom is in care, and what to write down about each.

Countable, exempt, spend down, look-back, community spouse. The people you're talking to use these words as if everyone knows them. Here are nineteen of them, each in a plain line taken from a public source, with what to write down when it comes up.

The definitions are for following the conversation. They aren't for working out where Mom stands. The rules behind each word differ from state to state, and applying them is a professional's job.

The programs

Medicare

Medicare doesn't pay for long-term care. Medicare.gov says most long-term care is non-medical, and that Medicare and most health insurance don't cover it. [1]

WRITE DOWN What Medicare has been paying for during Mom's care, if anything, as the business office describes it.

Medicaid

A joint federal and state program that helps people with low income and assets pay for health care, including long-term care in nursing homes and at home. Eligibility rules and covered services vary from state to state. [2]

WRITE DOWN The state Mom lives in, and the name her state uses for its program if you hear one.

Long-term care (custodial care)

Medical and non-medical care for people who have a chronic illness or disability. Most of it is help with the basic personal tasks of everyday life, like dressing, bathing and using the bathroom. [1]

WRITE DOWN The help Mom gets each day, and who gives it.

State Medicaid office

The states run Medicaid day to day, take the applications and decide eligibility. The federal long-term care site calls the State Medical Assistance office the best source of information about how to qualify in your state. [3] [2]

WRITE DOWN Its phone number, and the name of anyone you've spoken with there.

Eligibility

General (nonfinancial) requirements

The requirements that aren't about money. Medicaid.gov says people generally must be residents of the state where they receive Medicaid, and citizens of the United States or certain qualified non-citizens. [4]

WRITE DOWN Mom's state of residence and her current address.

Financial eligibility

The assessment of a person's available income and assets to determine whether she meets Medicaid's eligibility requirements. [5]

WRITE DOWN Who has looked at Mom's income and assets so far, if anyone, and what they had in front of them.

Functional eligibility

The assessment of a person's care needs to determine whether she meets Medicaid's requirements for payment of long-term care services. It may include her ability to perform activities of daily living or her need for skilled care. [5]

WRITE DOWN Whether anyone has assessed Mom's care needs, who did it, and when.

Level of care

For Medicaid, long-term care services are those provided to someone who requires a level of care equivalent to that received in a nursing facility. The threshold for it varies by state. [5] [6]

WRITE DOWN What the facility or her doctor has said about the care she needs, in their words.

Income and assets

Income

What comes in. A state counts some of a person's income but not all of it; the kinds it looks at include Social Security, veterans benefits, pensions, interest and dividends. [7]

WRITE DOWN Each thing Mom receives, who pays it and how often.

Countable assets

Assets whose value is counted in determining financial eligibility for Medicaid. [5]

WRITE DOWN What Mom owns, item by item, with whose name is on each. Don't label anything countable yourself.

Exempt (non-countable) assets

Assets whose value is not counted in determining financial eligibility for Medicaid. [5]

WRITE DOWN Anything you've been told “doesn't count,” and who said so. Have it confirmed for her state.

Spend down

The federal glossary's name for using income and assets to pay for care before a person meets Medicaid's financial eligibility criteria. What that involves depends on the state. It's a term, not an instruction. [5]

WRITE DOWN Who used the phrase, and what they said it meant for Mom.

Home equity (equity value)

The fair market value of a property minus anything owed on it, such as a mortgage or a loan. States have varying rules about home equity. [5] [6]

WRITE DOWN The names on the deed, any mortgage or home equity loan, and who lives in the house now.

Trust

Medicaid.gov says a trust set up with at least some of a person's own funds can be considered available to that person when Medicaid eligibility is determined. How a particular trust is treated is a question for an elder law attorney. [4]

WRITE DOWN The trust's name, who set it up and when, and where the document is.

Annuity

A contract in which a person gives an insurance company money that is later distributed back to the person over time. [5]

WRITE DOWN The company, the owner named on the contract, and where the paper is.

Family and history

Community spouse

The spouse of a nursing home resident who is applying for or receiving Medicaid long-term care services. [5]

WRITE DOWN Whether Mom has a spouse, and where the spouse lives.

Spousal impoverishment protections

Federal provisions meant to keep the spouse still living at home from being left with little or no income or resources. Medicaid.gov says a certain amount of the couple's combined resources is protected for that spouse. The amounts are updated from year to year, and what they come to for one couple is for a professional to say. [8]

WRITE DOWN That Mom is married, the date she moved into care, and any statements from around that date.

Transfer of assets

Giving away property for less than it is worth. When someone applies, a state will want to know whether any assets were given away. [5] [3]

WRITE DOWN Any gift or transfer anyone remembers: what, to whom, and roughly when. Don't judge it.

Look-back period

A period before a person applies for Medicaid payment of long-term care services. The Medicaid agency looks at whether assets were transferred during it. Its length, and what follows from a transfer, are questions for a professional who knows Mom's state. [5]

WRITE DOWN Rough dates for anything that changed hands. Leave the counting to a professional.

What this sheet doesn't do

It defines words. It doesn't say which of them apply to Mom, what any limit or period is in her state, or whether she qualifies, and it isn't legal, financial or tax advice. That's for a professional who knows her state.

Ready for the next step?

You can follow the conversation now. The planning interview covers the same ground in plain language: it asks about your family's situation and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

1. Medicare.gov (Centers for Medicare & Medicaid Services), Long Term Care Coverage
2. Administration for Community Living (LongTermCare information), Medicaid
3. Administration for Community Living (LongTermCare information), Applying for Medicaid
4. Medicaid.gov (Centers for Medicare & Medicaid Services), Eligibility Policy
5. Administration for Community Living (LongTermCare information), Glossary
6. Justice in Aging, Medicaid Home and Community-Based Services for Older Adults: A Primer
7. Administration for Community Living (LongTermCare information), Medicaid Eligibility
8. Medicaid.gov (Centers for Medicare & Medicaid Services), Spousal Impoverishment

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